

Summer 2025
RMI 300 – Principles of Risk Management (3 credits)
Wisconsin School of Business | University of Wisconsin-Madison

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Office Hours: Mondays and Wednesdays, 5-6pm CT & by appointment – all via Zoom
Class Hours: Mondays and Wednesdays, 7-9pm CT
Class Location: Online via Zoom

Course Overview

Situations involving “risk” (that is, variability in outcomes) are everywhere. Consider the global COVID-19 pandemic, Amazon’s supply chain concerns with tariffs, Disney’s new Abu Dhabi theme park, Southwest Airlines’ new travel policies, recent wildfires in the Palisades, the death of Pope Francis, and population-level shifts in life expectancy. Volatility in future outcomes is considered “risk,” and it can be associated with either **positive** or **negative** situations. Examples of situations involving risk include natural disasters such as hurricanes, data breaches, corporate strategic initiatives (like managing employee benefits programs or introducing new products), workplace safety, and many more. Risk is something for us to *use effectively rather than eliminate*.

Learning Outcomes

The learning outcomes for RMI 300 are to develop critical thinking, risk management (RM) skills, and knowledge so that when you finish this course, you:

- recognize the general types and characteristics of situations involving risk, how to identify them, and why they are important;
- possess the skills and knowledge to measure and assess risk;
- know the basics of how RM tools work and their benefits/costs in any given situation;
- are able to apply the RM process in a simple situation involving risk;
- can explain the value that sound risk management provides individuals, organizations, society.

Grade Composition

Final Exam	30%
Exam #1	20%
Exam #2	20%
Assignments	15%
Participation	15%

Exams

There will be three (3) exams in this class. The first two cover the first two units of the course, and the final exam is cumulative (though more than half of the exam will cover exclusively what was in lectures since the second exam). The exam dates are as follows:

- Exam #1: Tuesday, July 1 from 7:30-9pm CT
- Exam #2: Thursday, July 17 from 7:30-9pm CT
- Final Exam: Wednesday, August 6 from 7-9pm CT (the final day of class)

Exams will be taken on Canvas, and no proctoring software will be required. As you’ll see from

the dates, the first two exams are not offered during class time. The final exam will be given during the regularly scheduled lecture time. For the exams, I will have the Zoom room open to handle any questions live; I recommend logging into Zoom and leaving it open during the exams should any issues arise for you.

Please communicate any issue with the three exam dates with me via email by 11:59pm CT on Friday, June 20, 2025. If you are unable to take either of the first two exams within three (3) days of the scheduled time listed above, I will add that exam's weight to the weight of the final exam.

Assignments

There are three (3) categories in this section: 1) quizzes, 2) in-class exercises, and 3) homework. Each will be graded on a mixture of completion and correctness, and the scores are all to be equally weighted. Generally, I will ask you to complete homework outside of class and quizzes will be given during class time. You should expect three (3) quizzes and three (3) homework assignments over the course of the summer term (i.e., one of each before each exam).

In-class exercises are short assignments you are expected to complete as best you can before class, which will then be used to guide discussion at some point during lecture. So, you should come ready to discuss them, knowing their purpose is to practice before a formal exam setting. I expect to assign one (1) in-class exercise per week.

Participation

Participation is based on two key features: 1) attendance (5%) and 2) active engagement with the content in the real-world context (10%). The attendance grade is based on you attending class with your camera on in the Zoom room. If you do this every class, you will receive full credit. You may miss two classes before it affects this portion of your grade. If you anticipate issues with your camera or audio, email me.

Active engagement with the content in the real-world context is based on weekly discussion boards that you must publish via Canvas before the Monday class of each week (except for the first week). Each discussion board post must include a link to a recent article in the popular press accompanied by at least one paragraph summarizing and tying the content to a course topic. Each of the seven posts is worth 1% of your grade.

The remaining 3% of this section comes from being prepared for one (1) low-stakes "on-call" once during the summer term. Roughly once per class, I will ask one person to choose one of their discussion board articles and provide the class an explanation of how it connects to course concepts; there will also be questions from me and – potentially – colleagues. This is not a formal presentation, so if you are keeping up with your posts and using your own thoughts in making them, this will be easy. On the other hand, if you are not actually reading or are using some tool to write your posts for you, it will be difficult. You will not know in advance who will be asked to discuss an article on a given day; I will use a random order generator to sort your names and go down the list. If you miss the class in which you are called upon, I will reshuffle you in the list.

Grading and Feedback Policies

You should expect little in the way of formal, written feedback on your assignments. Homework assignments will be accompanied by detailed solutions; in-class exercises and quizzes will be

discussed in-class. If you wish to discuss your specific submission(s), just email me (and we can find a time to meet). It is your responsibility to notify me of an issue with an assignment grade within three (3) weeks of the grade posting; after that, I will assume you have verified the correctness of your grade (or that you have met with me to discuss).

I will post exam scores on Canvas and then make myself available for 30-minute, one-on-one meetings about your exam. This will be the only way to review your exam, as I will not take questions about your specific exam before or after class, nor will I answer them in office hours. These meetings are held for up to one (1) week after the exam score is released; after that, I cannot guarantee availability to discuss your exam at length.

Grading Scale

90-100	A
88-89	AB
80-87	B
78-79	BC
70-77	C
60-69	D
Below 60	F

Late Submissions and Extra Credit

In lieu of making decisions on extensions or justifications for missing assignments, I will simply drop the two lowest scoring items in the *Assignments* category above. Given their importance to each lecture and the on call activity, late discussion board posts are not accepted, nor are any of them dropped. I do not offer individualized extra credit opportunities. If I extend such an opportunity, it will be open to everyone.

Course Materials

I will regularly post videos, readings, and recordings of lectures on the course web page. You should expect to see a pre-recorded lecture or content video at roughly once per week (but not more than that). If they are to be posted, they will be posted by Thursday of a given week to ensure you have time to engage with it before the following Monday's class. *There is no required textbook.* If you prefer a textbook, prior versions of this course have made this book available: <https://www.theinstitutes.org/guide/college/shop>. You may be able to find it online or via the library. There will be no exam content that comes from the textbook that was not discussed in lecture.

Office Hours

I intend to hold two (2) hours of live office hours via Zoom each week. Once a class poll is taken to determine the best times, I will update the syllabus and announce them on Canvas by the end of the first week of class. My office hours are considered free-flowing so that as many folks who want to join may join at any one time (i.e., they are not one-on-one). This has been remarkably helpful for students in the past, where we can learn and study as a group. If you would like to meet one-on-one, or the office hours schedule does not work for you, I am always happy to set up a Zoom appointment (just email me).

Email

My goal will always be to answer your email within twenty four (24) hours; often, it will be much faster than that. I prefer email over Canvas messages. I do not enjoy receiving detailed content questions via email. Instead of answering those, I will encourage you to ask in office hours or at the beginning/end of class, so that others (potentially with the same question as you) can benefit from hearing the answer. I will also have a discussion board open all semester for questions, where I can provide an answer and moderate any discussion among you and your colleagues.

Instructional Mode

Lectures will be conducted synchronously via the Zoom tab on Canvas. Classes will be recorded for your reference. If there are technical difficulties that lead to an incomplete, missing, or glitchy recording, I will not re-record that lecture. You can always message another classmate via Canvas for their notes or contact me for help in doing so. Office hours are also useful.

Web Resources

A course page has been established on Canvas to administer this class. The Canvas web page hosts the syllabus along with access to lectures, assignments, and other course material. You are responsible for accessing the course web page on a regular basis. You may log on to the web page through the following address: <https://canvas.wisc.edu/courses/452951>.

Honor Code and Use of Technology

We expect each member of this course (professor and students) to interact with one another respectfully, fairly, and honestly, and to abide by the University rules of conduct.

Accommodations

Any student who feels the need for an accommodation for a disability of any sort should consult with me as soon as possible so that appropriate arrangements may be made.

Course Guide Description of RMI 300 Principles of Risk Management (3 credits), mode of delivery, pre-requisites, and course designations

Precedes advanced work in insurance; the nature of risk, principal techniques of risk management and the bases for decision making in management of business and personal risks.

To fulfill three (3) credits, this course meets for four (4) hours of lecture each week. In addition, one (1) hour of pre-recorded lectures or course videos are to be assigned. In addition, students are expected to spend ten (10) hours per week outside of class studying and completing assignments. The mode of delivery is online and synchronous.

ECON 101 is a pre-requisite, and the course designations are:

Breadth – Social Sciences

Level – Intermediate

L&S Credit – Counts as Liberal Arts and Sciences credits in L&S

Schedule of Topics

The schedule of topics is always subject to change if another alternative presents a better learning opportunity.

Setting Objectives and Identifying Risks

Weeks 1-3

- What is risk, why it is important, and how do we manage it?
- Risk identification: exposures, perils, hazards
- Liability risk
- Workers' compensation
- Human capital risk (employee benefits)
- Consequential losses
- Enterprise risk management (ERM) and the global firm
- Cyber risk

Exam #1 – Tuesday, July 1

Measuring and Managing Risks

Weeks 3-5

- Measuring risk
- Risk pooling
- Risk controls (prevention, reduction)
- Risk retention
- Risk transfer: non-insurance options
- Risk transfer: insurance
- Transfer vs. retention

Exam #2 – Thursday, July 17

The Risk Management Process

Weeks 6-8

- Decision making biases
- Does risk management add value to a firm?
- Reinsurance and Lloyd's of London
- Captives
- Regulation and innovation
- Microinsurance

Final Exam (cumulative) – Wednesday, August 6